

107	KMJ Corbin & Company LLP vs. Blithe, 24-01412778	Defendant, Richard Blithe (“Defendant” or “Blithe”), moves for judgment on the pleadings as to the second cause of action for breach of contract in the Verified Complaint of Plaintiff KMJ Corbin & Company LLP (“Plaintiff” or “KMJ”). Defendant contends that the second cause of action is based on alleged noncompete clauses that are unenforceable under Business & Professions Code sections 16600 and 16601, such that the motion must be granted, without leave to amend. KMJ contends that the motion is improper as it attacks only the non-competition and non-solicitation covenants and not the other breaches of contractual duties such that it impermissibly attacks a portion of a cause of action; that Section 16601 applies on the face of the pleadings as this case involves a sale of an entire business and its goodwill, not a partial sale, and not an employment noncompete imposed as a condition of hire; that this is not the "employment context" that Section 16600(b)(1) addresses; that the controlling authority is <i>Alliant Ins. Services, Inc. v. Gaddy</i> (2008) 159 Cal.App.4th 1292, which forecloses Defendant’s argument that the covenant cannot reach post-sale and employment-derived clients; that the motion’s duration and geography arguments raise fact questions that cannot be resolved on the pleadings; and that Section 16601 contains no durational limit. Lastly, KMJ contends that even accepting Defendant’s premise that categories (ii) and (iii) are overbroad, judgment on the pleadings would still be improper because category (i), the Client List Blithe actually sold, is within Section 16601’s core, and that the parties expressly contracted for reformation and severance, such that, at minimum, the covenant is enforceable as to the Client List Blithe sold, and the second cause of action states a claim. Defendant moves for judgment on the pleadings pursuant to Code of Civil Procedure sections 438 and 439, and common law. A statutory motion for judgment on the pleadings may be made at any time except not within 30 days before trial, unless the court otherwise permits. (Code Civ. Proc. § 438(e).) However, a nonstatutory motion for judgment on the pleadings may be brought at any time. (<i>Stoops v. Abbassi</i> (2002) 100 Cal. App. 4th 644, 650.)
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A motion for judgment on the pleadings that is brought by a defendant may only be made either on the ground that the court has no jurisdiction of the subject of the cause of action alleged in the complaint, or that the complaint does not state facts sufficient to constitute a cause of action against that defendant. (Code Civ. Proc. § 438(c)(1)(B)(i)-(ii).) A motion for judgment on the pleadings may be made either as to the entire complaint or as to any of the causes of action stated therein. (Code Civ. Proc. § 438(c)(2)(A).)

A motion for judgment on the pleadings may be made, and granted, on the same grounds as a general demurrer. (Code Civ. Proc. § 438(c)(1)(B)(ii); *Stoops v. Abbassi* (2002) 100 Cal. App. 4th 644, 650.) “[A] motion for judgment on the pleadings is appropriate where the operative complaint does not state facts sufficient to constitute a cause of action against the named defendant.” (*Barajas v. Sativa L.A. Cnty. Water Dist.* (2023) 91 Cal.App.5th 1213, 1224, quotation marks and alteration omitted, review denied (Aug. 9, 2023).) “A motion sought on this basis is equivalent to a demurrer such that [the court’s] task is to examine the operative complaint’s allegations and any judicially noticed documents in order to assess whether the pled cause of action is legally viable.” (*Id.*, citation omitted.)

The grounds for judgment on the pleadings must appear on the face of the complaint or be based on facts that the court may judicially notice. (Code Civ. Proc. § 438(d); *Cloud v. Northrop Grumman Corp.* (1998) 67 Cal.App.4th 995, 999 (“Cloud”).) “A motion for judgment on the pleadings is equivalent to a demurrer and is governed by the same standard of review. All material facts which were properly pleaded are deemed true, but not contentions, deductions, or conclusions of fact or law.” (*Mack v. State Bar of California* (2001) 92 Cal.App.4th 957, 961.) Factual allegations are accepted as true and are given a liberal construction. (*Gerawan Farming, Inc. v. Lyons* (2000) 24 Cal.4th 468, 515-516.) Extrinsic evidence is not considered on a motion for judgment on the pleadings. (*Cloud, supra*, 67 Cal.App.4th at p. 999.)

“A motion for judgment on the pleadings, like a demurrer, cannot be granted as to only a portion of a cause of action. (*Spencer v. City of Palos Verdes Estates* (2023) 88

Cal.App.5th 849, 861-862, 304 Cal.Rptr.3d 880; *Fire Ins. Exchange v. Superior Court* (2004) 116 Cal.App.4th 446, 452, 10 Cal.Rptr.3d 617 [a motion for judgment on the pleadings, like a general demurrer, “does not lie as to a portion of a cause of action, and if any part of a cause of action is properly pleaded, the demurrer will be overruled [or motion for judgment on the pleadings denied]”]; see *Southern California Pizza Co., LLC v. Certain Underwriters at Llyod's, London* (2019) 40 Cal.App.5th 140, 154, 252 Cal.Rptr.3d 635 [“ ‘[a] demurrer must dispose of an entire cause of action to be sustained’ ”].)” (*Santa Clarita Organization etc. v. County of Los Angeles* (2024) 105 Cal.App.5th 1143, 1165 [reversing judgment after finding trial court erred in granting motion for judgment on the pleadings where a portion of the CEQA cause of action was not barred under section 66499.37].)

Here, Plaintiff correctly asserts that Defendant’s motion for judgment on the pleadings does not resolve the entire second cause of action for breach of contract and seeks to resolve only a portion of the breach of contract claim as to the non-competition and non-solicitation covenants in the Agreement for the Purchase and Sale of Accounting Practice Assets and Employment Agreement, attached as Exhibits A and C to the Verified Complaint.

The second cause of action alleges breach of the non-competition/non-solicitation covenants as well as breach of other contractual duties.

The second cause of action alleges, in part:
 “BLITHE also entered into a valid and legally enforceable Employment Agreement with KMJ, attached hereto as Exhibit C. The Employment Agreement stated, and BLITHE agreed, that he, by entering into this agreement, “shall devote his full working hours and best efforts to the business of the firm,” and “shall not engage in providing any competing accounting services individually[.]” Further, the Employment Agreement stipulates that the “Firm’s clients are material, important and confidential trade secrets of the Firm’s practice,” and that BLITHE agrees to not “use or disclose the list of the Firm’s clients, or any part thereof, to any person, firm, corporation, association or other entity for any reason or purpose.””

(Verified Complaint, ¶ 33.)

		The second cause of action additionally alleges, as follows: “BLITHE's acts described herein breach both the Non-Compete Covenant contained in the Purchase Agreement and the Employment Agreement, including but not limited to: “a. Taking steps to undermine, deter, and/or ultimately sabotage the potential acquisition of KMJ to a third party; “b. Neglecting his duties while employed by KMJ to instead focus on business opportunities he stole from KMJ for his own personal gain and benefit, costing KMJ money and client relationships; “c. Taking confidential and proprietary information of KMJ, including its Client Lists that do not constitute trade secrets and using such information in unfair competition against KMJ; and “d. Denigrating the reputation of KMJ to its clients through email, phone calls, and in person meetings.” (Verified Complaint, ¶ 36.) Defendant's motion acknowledges these allegations, but does not address them in the motion and show that they are entitled to judgment on the pleadings. (Motion, 2:20-25.) The allegations above allege a claim for breach of contract based on provisions in the Employment Agreement other than the non-solicitation/non-competition covenants. By failing to address these other alleged breaches, Defendant fails to establish judgment on the pleadings as to the entire second cause of action. Defendant's motion for judgment on the pleadings as to the second cause of action is DENIED. Defendant's request for judicial notice of Plaintiff's Verified Complaint is GRANTED. <i>Plaintiff to give notice.</i>
108	Dodson vs. Ford Motor Company, 23-01340987	Plaintiff HUGH DODSON will, and hereby does, move for an order to strike Defendants' memorandum of costs. Initially, the “prevailing party” is entitled as a matter of right to recover costs of suit in any action or proceeding. [CCP § 1032(b); <i>Santisas v. Goodin</i> (1998) 17 Cal.4th 599, 606.]